

SAP (SAPG.DE)

Resilient CCB and strong pipeline despite macro uncertainty; refining EBIT assumptions; reiterate Buy

SAPG.DE	12m Price Target: €215.00	Price: €128.32	Upside: 67.5%
SAP	12m Price Target: \$245.00	Price: \$146.38	Upside: 67.4%

We reiterate our Buy rating on SAP post 2Q26, which demonstrated another quarter of CCB resilience despite elevated macro uncertainty driven by Middle East tensions. Looking forward, we expect investor debate to be centred around the trajectory of CCB throughout FY26, with management reiterating its expectation of a slight deceleration through FY26. However, we believe the growth exhibited in 1H26, combined with a post-SAPPHIRE pipeline tracking better than expected, gives greater visibility into 2H cloud growth, which we view as broadly de-risked given the unchanged guidance. While we acknowledge the headwinds to operating profit from higher opex and dilutive impact from acquisitions, we still see potential for SAP to unlock structural cost efficiencies across its opex as SAP undergoes an evolving business model transition towards AI consumption. Overall, we continue to expect SAP to outperform vs peers driven by the resilience of its idiosyncratic product cycle and await any proof points on AI adoption and monetisation over the coming quarters following of launch of the Autonomous Enterprise and Business AI Platform at SAPPHIRE.

We update our estimates for FX, which represents an incremental headwind of c.30bps to revenues. We continue to forecast +22% organic yoy ex-fx FY26 ex CCB growth. We modestly raise our cloud revenues to 24.4% yoy ex-fx (vs. 24.0% previously) for FY26, while slightly lowering our FY26 EBIT growth forecast to 14.5% yoy ex-fx (vs. 14.8% previously), reflecting lower cloud gross margins and slightly higher opex, landing just below the midpoint of guidance. We also modestly lower our FY27 EBIT growth with the outer years unchanged. On our estimates, SAP currently trades on CY27E EV/Recurring revenue, P/E and EV/FCF of c.4x/c.15x/c.13x, for c.15%/22%/17% recurring revenue, EPS and FCF FY26-30 CAGRs. We reiterate our Buy with a 12-month price target of €215 (ADR \$245).

BUY

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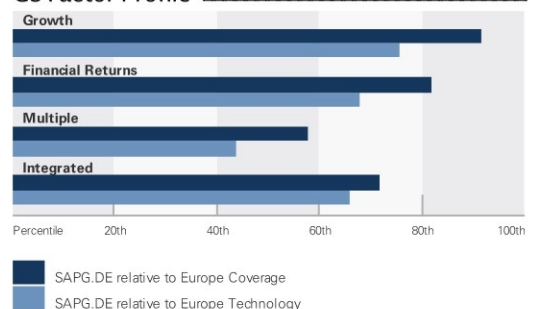
Key Data

Market cap: €149.7bn / \$170.3bn
Enterprise value: €147.6bn / \$167.8bn
3m ADTV: €415.4mn / \$480.6mn
Germany
Europe Technology
M&A Rank: 3
Leases incl. in net debt & EV?: No

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue (€ mn) New	36,800.0	40,452.5	45,724.3	51,872.4
Revenue (€ mn) Old	36,800.0	40,329.9	45,446.3	51,528.2
EBIT (€ mn)	9,830.0	11,356.4	13,374.0	16,186.0
EPS (€) New	6.29	7.26	8.65	10.57
EPS (€) Old	6.29	7.01	8.70	10.61
EV/sales (X)	7.8	3.6	3.0	2.4
EV/EBITDA (X)	25.6	11.6	9.3	7.2
P/E (X)	38.6	17.7	14.8	12.1
Org. sales grth (%)	10.1	10.6	12.2	13.4
	3/26	6/26	9/26E	12/26E
EPS (€)	1.66	1.88	1.79	1.93

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates.
See disclosures for details.

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BUY

SAP (SAPG.DE)

Rating since Jan 28, 2011

Ratios & Valuation

	12/25	12/26E	12/27E	12/28E
EV/sales (X)	7.8	3.6	3.0	2.4
EV/EBITDAR (X)	25.6	11.6	9.3	7.2
EV/EBIT (X)	29.1	12.9	10.2	7.8
P/E (adj.) (X)	35.1	15.2	12.8	10.7
EV/FCF (X)	34.6	14.2	12.0	9.4
Free cash flow (€ mn)	8,263.5	10,271.5	11,410.0	13,516.9
FCF yield (%)	2.9	6.9	8.0	9.5
Net debt (€ mn)	(147.5)	(2,650.1)	(6,043.7)	(15,557.5)
Net debt/EBITDA (X)	(0.0)	(0.2)	(0.4)	(0.9)
Dividend yield (%)	1.0	2.1	2.2	2.4
Capex/sales (X)	2.0	2.0	1.9	1.8

Growth & Margins (%)

	12/25	12/26E	12/27E	12/28E
Total revenue growth	7.7	9.9	13.0	13.4
Organic sales growth	10.1	10.6	12.2	13.4
EBITDA growth	87.4	13.4	16.2	19.2
EBIT growth	110.8	15.5	17.8	21.0
Op. margin (adj.)	32.9	33.2	33.8	35.2
EPS growth	137.2	15.4	19.3	22.1
EPS (adj.) growth	20.0	22.3	18.3	19.2

Price Performance**Income Statement (€ mn)**

	12/25	12/26E	12/27E	12/28E
Total revenue	36,800.0	40,452.5	45,724.3	51,872.4
Total operating expenses	(20,286.0)	(21,754.8)	(23,972.9)	(26,269.9)
R&D	(6,633.0)	(7,286.2)	(8,377.4)	(9,416.4)
Other operating inc./exp.)	(51.0)	(55.0)	—	—
EBITDA	11,140.5	12,630.7	14,677.1	17,493.2
Depreciation & amortisation	(1,310.5)	(1,274.3)	(1,303.1)	(1,307.2)
EBIT	9,830.0	11,356.4	13,374.0	16,186.0
Operating profit (adj.)	12,112.0	13,445.2	15,451.4	18,263.4
Net interest inc./exp.)	533.0	460.1	225.0	300.0
Income/(loss) from associates	0.0	0.0	0.0	—
Total other net	118.0	(15.9)	—	—
Pre-tax profit	10,481.0	11,800.6	13,599.0	16,486.0
Provision for taxes	(2,990.0)	(3,351.2)	(3,943.7)	(4,780.9)
Minority interest	(107.0)	(64.0)	(40.0)	(40.0)
Net inc. (pre-exceptionals)	7,384.0	8,385.5	9,615.3	11,665.1
Post-tax exceptionals	744.3	1,401.0	1,515.0	1,515.0
Net inc. (post-exceptionals)	8,128.3	9,786.5	11,130.2	13,180.0
EPS (basic, pre-except) (€)	6.29	7.26	8.65	10.57
EPS (adjusted) (€)	6.92	8.47	10.02	11.94
Wtd avg shares out. (basic) (mn)	1,174.0	1,155.6	1,111.0	1,104.1
Tax rate (%)	28.5	28.4	29.0	29.0
Common dividends declared	2,938.8	3,186.5	3,173.0	3,406.2
DPS (€)	2.50	2.76	2.86	3.09
Div. payout ratio (%)	39.8	38.0	33.0	29.2
Organic sales growth (%)	10.1	10.6	12.2	13.4

Balance Sheet (€ mn)

	12/25	12/26E	12/27E	12/28E
Cash & cash equivalents	8,218.5	9,621.1	11,920.7	20,340.5
Accounts receivable	6,675.0	8,256.7	9,407.9	10,672.9
Inventory	—	—	—	—
Other current assets	5,362.0	5,362.0	5,362.0	5,362.0
Total current assets	20,255.5	23,239.9	26,690.6	36,375.4
Net PP&E	4,497.0	4,104.6	4,037.6	4,031.5
Net intangibles	31,296.0	31,296.0	31,296.0	(4,411.0)
Total investments	7,269.0	7,269.0	7,269.0	7,269.0
Other long-term assets	7,044.0	6,146.2	6,282.6	2,042.1
Total assets	70,361.5	72,055.7	75,575.8	45,307.0
Accounts payable	2,432.5	2,659.9	3,006.5	3,410.8
Short-term debt	—	—	—	—
Short-term lease liabilities	—	—	—	—
Other current liabilities	7,895.0	9,124.9	9,994.6	10,943.0
Total current liabilities	10,327.5	11,784.7	13,001.1	14,353.7
Long-term debt	8,071.0	6,971.0	5,877.0	4,783.0
Long-term lease liabilities	—	—	—	—
Other long-term liabilities	—	—	—	—
Total long-term liabilities	14,795.0	14,751.2	14,458.1	14,375.8
Total liabilities	25,122.5	26,535.9	27,459.3	28,729.6
Preferred shares	—	—	—	—
Total common equity	44,752.0	45,032.8	47,629.6	16,090.5
Minority interest	487.0	487.0	487.0	487.0
Total liabilities & equity	70,361.5	72,055.7	75,575.8	45,307.0
Adj for unfunded pensions & GW	—	—	—	—
GCL, nominal (ex cash)	57,786.9	58,720.4	59,524.0	24,663.1

Cash Flow (€ mn)

	12/25	12/26E	12/27E	12/28E
Net income	7,385.0	8,385.5	9,615.3	11,665.1
D&A add-back	2,188.5	2,403.5	2,450.6	2,454.7
Minority interest add-back	107.0	64.0	40.0	40.0
Net (inc)/dec working capital	(888.0)	606.5	172.9	290.8
Other operating cash flow	210.0	(379.0)	0.0	0.0
Cash flow from operations	9,002.5	11,080.5	12,278.8	14,450.6
Capital expenditures	(739.0)	(809.0)	(868.8)	(933.7)
Acquisitions	(702.0)	—	—	—
Divestitures	—	—	—	—
Others	55.0	170.0	170.0	170.0
Cash flow from investing	(1,386.0)	(639.0)	(698.8)	(763.7)
Repayment of lease liabilities	—	—	—	—
Dividends paid (common & pref)	(2,743.0)	(2,938.8)	(3,186.5)	(3,173.0)
Inc/(dec) in debt	(3,488.0)	(1,100.0)	(1,094.0)	(1,094.0)
Other financing cash flows	(1,939.0)	(5,000.0)	(5,000.0)	(1,000.0)
Cash flow from financing	(8,170.0)	(9,038.8)	(9,280.5)	(5,267.0)
Total cash flow	(1,389.5)	1,402.6	2,299.6	8,419.8

Source: Company data, Goldman Sachs Research estimates.

Resilient S/4 HANA product cycle despite uncertain macro; CCB reiterated to slightly decelerate in FY26

At 2Q26, SAP reported CCB growth of 26% yoy ex-fx (c.25% organic), ahead of GSe and consensus expectations of 25%/24%, and sequentially steady despite elevated macro uncertainty, driven by continued strength in the Cloud ERP Suite. Management also highlighted momentum across its Autonomous Suite and Business AI Platform, resulting in improved pipeline coverage post SAPPHIRE.

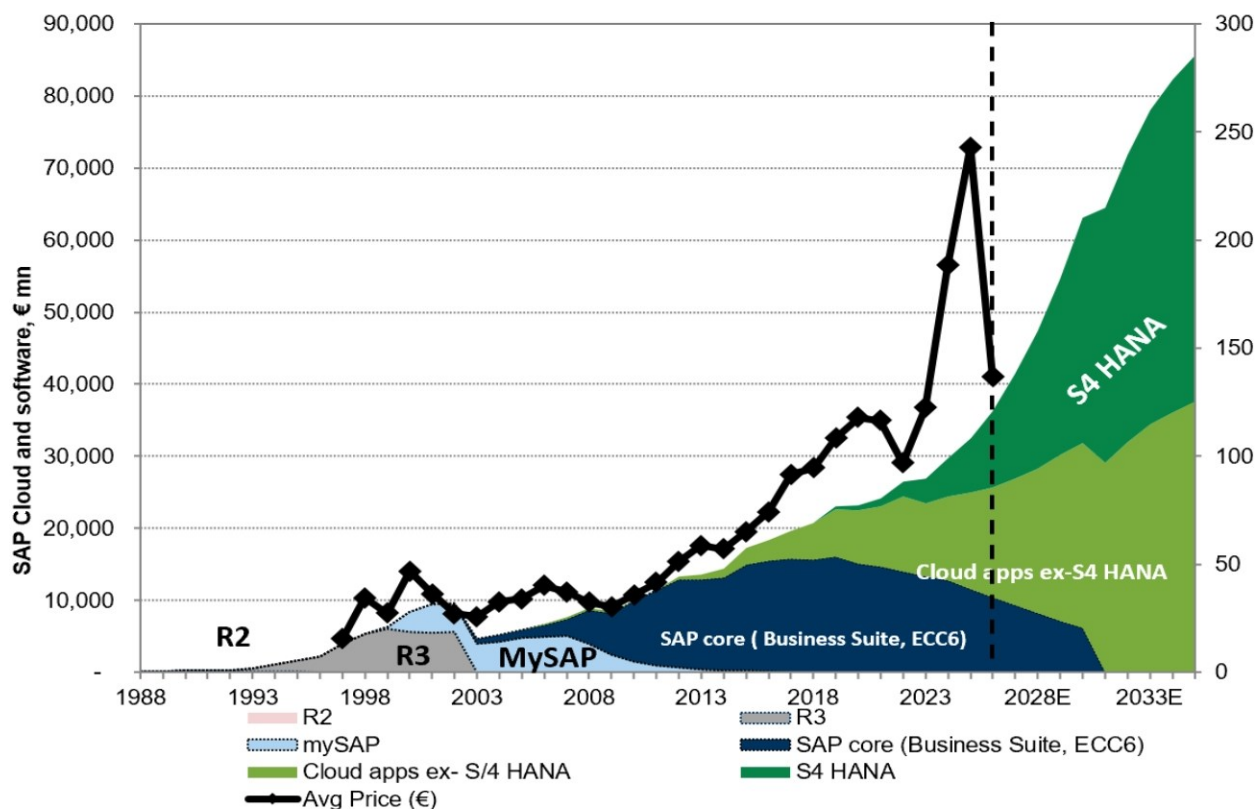
Looking ahead, management reiterated its guidance on top-line metrics and continues to expect a slight deceleration in CCB through FY26, noting that the range of outcomes for H2 remains wide given the volatile backdrop. That said, management noted the post-SAPPHIRE pipeline is tracking better than expected with improved coverage vs the prior year, and management expressed confidence in achieving its FY guidance as predictability on cloud revenue improves seven months into the year. We remain prudent, modelling a c.200bps deceleration in our ex-fx CCB growth, expecting c.22% organic growth ex-fx. On cloud revenues, we modestly raise our FY26 forecast to 24.4% yoy ex-fx (vs. 24.0% previously), reflecting better licences and subscription revenue.

Non-IFRS EBIT came in modestly below expectations (2%/5% below GSe/consensus), growing 9% yoy ex-fx. The sequential deceleration was driven by lower cloud growth, higher-than-expected SBC (reversing the low SBC in 1Q), elevated R&D investment partly reflecting targeted AI hires at higher per-FTE costs, S&M spend around the Autonomous Enterprise launch, and the dilutive impact of Reltio. SAP also highlighted efficiency gains from internal AI adoption and plans to slow hiring over the next 12 months as it works towards its mid-term target of c.€2bn in efficiency gains. Management expects H2 operating profit growth to track similarly to the mid-teens growth delivered in H1 on a combined basis.

SAP updated its FY26 operating profit outlook to €11.8-12.2bn (previously €11.9-12.3bn), reflecting the dilutive impact of the Dremio and Prior Labs acquisitions (c.€100mn in H2). We modestly lower our Non-IFRS (incl. SBC) EBIT growth to 14.5% yoy ex-fx (vs. 14.8% previously) for FY26, landing just below the midpoint of guidance, and continue to expect double-digit ex-fx EBIT growth over the medium term (GSe forecasting c.80-180 bps margin expansion over FY26-30E).

Exhibit 1: We believe the core drivers of the S/4 HANA product cycle upgrade remain robust

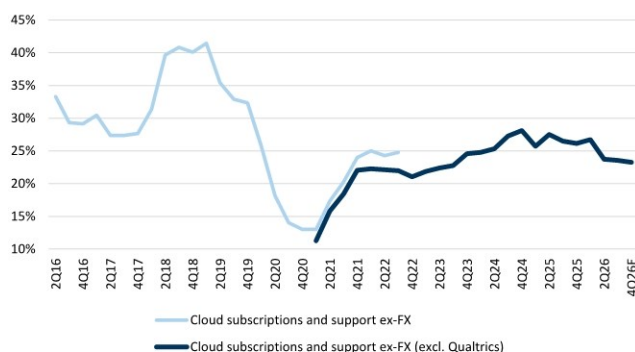
SAP revenue (€ mn), share price progression (1997-2024)



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 2: We expect cloud growth momentum to continue in FY26...

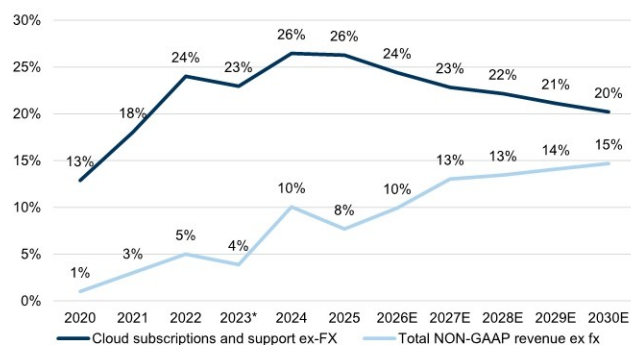
Cloud growth yoy ex-fx & Cloud growth yoy ex-fx (excl. Qualtrics)



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 3: ... followed by a stabilisation in growth...

Cloud and total revenue growth, % yoy ex-fx



*2023 represents proforma ex-Qualtrics growth

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 4: ... underpinned by solid CCB growth (+25% yoy org ex-fx in 2Q26) and despite slight deceleration expected in FY26

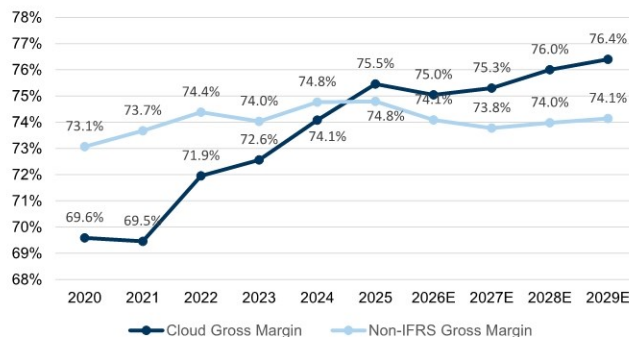
Current Cloud Backlog, € mn



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 5: We expect gross margin improvement to normalise

Cloud gross margin % vs total Non-IFRS gross margin %



Source: Company data, Goldman Sachs Global Investment Research

Changes to estimates

We update our estimates for FX, which represents an incremental headwind of c.30bps to revenues. We continue to forecast +22% organic yoy ex-fx FY26 exit CCB growth. We modestly raise our cloud revenues, to 24.4% yoy ex-fx (vs. 24.0% previously) for FY26, while slightly lowering our FY26 EBIT growth forecast to 14.5% yoy ex-fx (vs. 14.8% previously), reflecting lower cloud gross margins and slightly higher opex, landing just below the midpoint of guidance. We also modest lower our FY27 EBIT growth with the outer years unchanged.

We reiterate our Buy rating with our new 12m PT moving to €215 from €230 (ADR PT to US\$245 from US\$271). Our PT is now based on c.22x 3Q27-2Q28E P/E vs c.24x 2Q27-1Q28E previously.

Exhibit 6: Old vs new estimates

€ mn except per share data

Year to December	2026E OLD	2026E NEW	% Chg.	2027E OLD	2027E NEW	% Chg.	2028E OLD	2028E NEW	% Chg.	2029E OLD	2029E NEW	% Chg.	2030E OLD	2030E NEW	% Chg.
Current Cloud Backlog	25,509	25,595	0%	31,240	31,440	1%	38,113	38,357	1%	46,308	46,603	1%	56,264	56,623	1%
% yoy	21.2%	21.6%		22.5%	22.8%		22.0%	22.0%		21.5%	21.5%		21.5%	21.5%	
% yoy ex fx reported	22.8%	22.8%		22.0%	22.0%		22.0%	22.0%		21.5%	21.5%		21.5%	21.5%	
% yoy organic ex fx reported	22.0%	22.0%		22.0%	22.0%		22.0%	22.0%		21.5%	21.5%		21.5%	21.5%	
License Revenue	645	666	3%	421	436	4%	273	283	4%	178	184	4%	116	120	4%
% yoy	-34.9%	-32.7%		-34.7%	-34.5%		-35.0%	-35.0%		-35.0%	-35.0%		-35.0%	-35.0%	
% yoy ex fx reported	-34.2%	-32.2%		-35.0%	-35.0%		-35.0%	-35.0%		-35.0%	-35.0%		-35.0%	-35.0%	
% yoy organic ex fx reported	-34.2%	-32.2%		-35.0%	-35.0%		-35.0%	-35.0%		-35.0%	-35.0%		-35.0%	-35.0%	
Maintenance	9,692	9,718	0%	8,872	8,910	0%	7,945	7,982	0%	6,967	7,001	0%	6,027	6,058	1%
% yoy	-7.9%	-7.7%		-8.5%	-8.3%		-10.5%	-10.4%		-12.3%	-12.3%		-13.5%	-13.5%	
% yoy ex fx reported	-6.9%	-6.8%		-8.7%	-8.7%		-10.5%	-10.4%		-12.3%	-12.3%		-13.5%	-13.5%	
Subscription Revenue	25,722	25,897	1%	31,708	32,023	1%	38,731	39,117	1%	46,909	47,375	1%	56,380	56,940	1%
% yoy	22.4%	23.2%		23.3%	23.7%		22.1%	22.2%		21.1%	21.1%		20.2%	20.2%	
% yoy ex fx reported	24.0%	24.4%		22.8%	22.8%		22.1%	22.2%		21.1%	21.1%		20.2%	20.2%	
% yoy organic ex fx reported	23.3%	23.6%		22.6%	22.6%		22.1%	22.2%		21.1%	21.1%		20.2%	20.2%	
Total Revenue	40,330	40,452	0%	45,446	45,724	1%	51,528	51,872	1%	58,756	59,178	1%	67,357	67,868	1%
% yoy	9.6%	9.9%		12.7%	13.0%		13.4%	13.4%		14.0%	14.1%		14.6%	14.7%	
% yoy ex fx reported	11.0%	11.0%		12.3%	12.3%		13.4%	13.4%		14.0%	14.1%		14.6%	14.7%	
% yoy organic ex fx reported	10.6%	10.6%		12.1%	12.2%		13.4%	13.4%		14.0%	14.1%		14.6%	14.7%	
Non-IFRS Cloud Gross Profit (incl SBC)	19,212	19,323	1%	23,767	24,001	1%	29,326	29,616	1%	35,729	36,083	1%	43,134	43,561	1%
Non-IFRS Cloud Gross Margin (incl SBC)	74.7%	74.6%		75.0%	74.9%		75.7%	75.7%		76.2%	76.2%		76.5%	76.5%	
Non-IFRS Gross Profit (incl SBC)	29,436	29,590	1%	33,088	33,345	1%	37,680	37,988	1%	43,121	43,487	1%	49,646	50,081	1%
Non-IFRS Gross Margin (incl SBC)	73.0%	73.1%		72.8%	72.9%		73.1%	73.2%		73.4%	73.5%		73.7%	73.8%	
PF Op. Income	13,445	13,445	0%	15,560	15,451	-1%	18,384	18,263	-1%	21,740	21,593	-1%	25,852	25,675	-1%
PF Op. Margin	33.3%	33.2%		34.2%	33.8%		35.7%	35.2%		37.0%	36.5%		38.4%	37.8%	
% yoy	11%	11%		16%	15%		18%	18%		18%	18%		19%	19%	
% yoy ex fx reported	13%	12%		15%	14%		18%	18%		18%	18%		19%	19%	
Non-IFRS opex (incl SBC) growth (ex-fx)	7%	8%		9%	9%		9%	9%		10%	10%		10.4%	11%	
as % of revenue growth	63%	69%		69%	75%		69%	69%		71%	72%		71.4%	72%	
PF Op. Income - incl SBC	11,780	11,772	0%	13,860	13,751	-1%	16,684	16,563	-1%	20,040	19,893	-1%	24,152	23,975	-1%
PF Op. Margin - incl SBC	29.2%	29.1%		30.5%	30.1%		32.4%	31.9%		34.1%	33.6%		35.9%	35.3%	
% yoy	13.1%	13.0%		17.7%	16.8%		20.4%	20.4%		20.1%	20.1%		20.5%	20.5%	
% yoy ex fx reported	14.8%	14.5%		17.3%	16.1%		20.4%	20.4%		20.1%	20.1%		20.5%	20.5%	
PF EPS	8.31	8.47	2%	10.06	10.02	0%	11.98	11.94	0%	14.27	14.22	0%	17.10	17.03	0%
% yoy	20%	22%		21%	18%		19%	19%		19%	19%		20%	20%	
PF EPS - incl SBC	7.27	7.15	-2%	8.98	8.93	-1%	10.89	10.84	0%	13.18	13.12	0%	16.00	15.92	0%
% yoy	19%	17%		24%	25%		21%	21%		21%	21%		21%	21%	
FCF (GS definition)	9,654	9,971	3%	11,168	11,110	-1%	13,293	13,217	-1%	15,680	15,585	-1%	19,009	18,895	-1%
Y/Y growth	21%	25%		16%	11%		19%	19%		18%	18%		21%	21%	

Source: Goldman Sachs Global Investment Research

Exhibit 7: GS vs Visible Alpha Consensus Data

€ mn except per share data

Visible Alpha	Sep-26E			2026E			2027E			2028E		
	GS	Avg	GS vs Cons.	GS	Avg	GS vs Cons.	GS	Avg	GS vs Cons.	GS	Avg	GS vs Cons.
Current Cloud backlog (CCB)	22,683	23,454	-3%	25,595	25,800	-1%	31,440	30,717	2%	38,357	35,589	8%
YoY Growth	20.4%	29.9%		21.6%	22.6%		22.8%	19.1%		22.0%	15.9%	
CC YoY Growth	23.8%	24.8%		22.8%	22.6%		22.0%	19.1%		22.0%	15.9%	
Licences	110	120	-9%	666	716	-7%	436	541	-19%	283	425	-33%
YoY Growth	-32%	-38%		-33%	-28%		-35%	-24%		-35%	-21%	
Support revenues	2,412	2,376	1%	9,718	9,644	1%	8,910	8,763	2%	7,982	7,921	1%
YoY Growth	-6%	-10%		-8%	-8%		-8%	-9%		-10%	-10%	
Subscription revenues	6,642	6,565	1%	25,897	25,658	1%	32,023	31,339	2%	39,117	37,487	4%
YoY Growth	26%	28%		23%	22%		24%	22%		22%	20%	
CC YoY Growth	23.5%	23.5%		24.4%	23.7%		22.8%	21.7%		22.2%	19.5%	
Cloud & Software (SSRS)	9,163	9,061	1%	36,281	36,011	1%	41,370	40,621	2%	47,382	45,800	3%
YoY Growth	14%	14%		12%	11%		14%	13%		15%	13%	
CC YoY Growth	13%	12%		13%	12%		13%	13%		15%		
Total Revenues	10,222	10,088	1%	40,452	40,163	1%	45,724	44,832	2%	51,872	50,127	3%
YoY Growth	12.6%	11.8%		9.9%	9.1%		13.0%	11.6%		13.4%	11.8%	
CC YoY Growth	11.0%	10.6%		10.6%	10.6%		12.2%	11.0%		13.4%		
Non-IFRS Cloud gross profit (incl SBC)	4,939	4,938	0%	19,323	19,372	0%	24,001	23,798	1%	29,616	28,773	3%
Non-IFRS Cloud gross margin	74.4%	75.2%		74.6%	75.5%		74.9%	75.9%		75.7%	76.8%	
Non-IFRS Gross Profit	7,439	7,452	0%	29,590	29,590	0%	33,345	33,023	1%	37,988	37,075	2%
Non-IFRS Gross Margin	72.8%	73.9%		73.1%	73.7%		72.9%	73.7%		73.2%	74.0%	
PF Operating Profit	3,443	3,401	1%	13,445	13,352	1%	15,451	15,384	0%	18,263	17,673	3%
PF Operating Margin	33.7%	33.7%		33.2%	33.2%		33.8%	34.3%		35.2%	35.3%	
YoY Growth	15%	10%		11%	10%		15%	15%		18%	15%	
YoY Growth ex-fx	13%			12%			14%			18%		
SBC	460	480	-4%	1,673	1,443	16%	1,700	1,678	1%	1,700	1,870	-9%
Non IFRS opex (incl SBC)	4,456	4,532	-2%	17,818	17,681	1%	19,594	19,317	1%	21,424	21,272	1%
% yoy	7.9%	11.2%		6.5%	5.7%		10.0%	9.3%		9.3%	10.1%	
% yoy ex-fx	6.3%	9.6%		7.6%	6.4%		9.3%			9.3%		
% of revenue growth	57%	91%		72%	60%		76%	84%		69%	86%	
PF Operating Profit -incl-SBC	2,983	2,920	2%	11,772	11,909	-1%	13,751	13,706	0%	16,563	15,803	5%
PF Operating Margin -incl-SBC	29.2%	28.9%		29.1%	29.7%		30.1%	30.6%		31.9%	31.5%	
YoY Growth	16.2%	13.7%		13.0%	14.3%		16.8%	15.1%		20.4%	15.3%	
YoY Growth ex-fx	14.6%	12.1%		14.5%	15.8%		16.1%	14.4%		20.4%	15.3%	
PF EPS	2.15	2.09	3%	8.47	8.07	5%	10.02	9.43	6%	11.94	11.04	8%
YoY Growth	7%	13%		22%	17%		18%	17%		19%	17%	
PF EPS incl. SBC	1.86	1.79	4%	7.15	7.19	-1%	8.93	8.40	6%	10.84	9.88	10%
YoY Growth	18%	20%		17%	18%		25%	17%		21%	18%	
FCF (company definition)		2,045		9,681	9,920	-2%	11,055	11,230	-2%	13,087	12,690	3%

Source: Visible Alpha Consensus Data, Goldman Sachs Global Investment Research

Exhibit 8: GS vs guidance

		2026E	
		Guidance*	GS estimates
Revenue	Non-IFRS cloud revenue (reported)		25.9
	Non-IFRS cloud revenue (constant currency)	€25.8bn-€26.2bn	26.2
	Constant currency growth rate*	23% to 25%	24.4%
	Expected currency impact	-1.5%	-1.2%
	Non-IFRS cloud and software revenue (reported)		36.3
	Non-IFRS cloud and software revenue (constant currency)	€26.3bn-€36.8bn	36.6
	Constant currency growth rate*	12% to 13%	12.6%
	Expected currency impact	-1.5%	-1.1%
	Non-IFRS total revenue (reported)		40.5
	Non-IFRS total revenue (constant currency)		40.9
	Constant currency growth rate*		11.0%
	Expected currency impact		-1.1%
	Share of predictable revenue (total of cloud revenue and software support revenue)		88%
Operating Profit	Non-IFRS operating profit (reported)		13.4
	Non-IFRS operating profit (constant currency)		13.63
	Constant currency growth rate*		12.5%
	Expected currency impact		-1.5%
	Non-IFRS operating margin		33.2%
	Non-IFRS Operating Profit incl SBC		11.77
	Non-IFRS Operating profit incl SBC (constant currency)	€11.8bn-€12.2bn	11.93
	Non-IFRS Constant currency growth rate incl SBC*	13% to 17%	14.5%
OCF	Non-IFRS incl SBC Expected currency impact	-2.0%	-1.5%
	Non-IFRS Operating margin incl SBC		29.1%
Free Cash Flow	Operating Cash Flow		11.1
	Free Cash Flow (new definition)		9.7
	Free Cash Flow	c.€10bn	10.0

*2026 guidance Based on USD at 1.14

**GS absolute estimates are all as reported

*2026 guidance based on USD at 1.14

Source: Company data, Goldman Sachs Global Investment Research

Valuation**Exhibit 9: SAP's growth-adjusted multiples trade broadly in line to software peers**

SAP multiples vs software peers

CY27E	P/E	EPS growth	PEG	EV/FCF	26-30 FCF CAGR	FCF PEG
MSFT	18.1x	17%	1.1x	83.6x	48%	1.7x
ADBE	7.4x	16%	0.5x	6.5x	6%	1.1x
WDAY	9.7x	22%	0.4x	7.5x	21%	0.3x
CRM	10.0x	12%	0.8x	9.4x	12%	0.8x
NOW	17.8x	26%	0.7x	13.3x	16%	0.8x
SAPG.DE	24.1x	22%	1.1x	20.8x	16%	1.3x
Avg of group	14.2x	20%	0.7x	23.5x	20%	1.0x
Avg ex- MSFT	13.6x	20%	0.7x	11.5x	14%	0.9x
Avg ex- SAP	12.6x	20%	0.7x	24.1x	21%	1.0x

Source: Goldman Sachs Global Investment Research

Exhibit 10: Assuming margins stabilise at 36% in FY30, we believe the market is discounting c.4% net revenue growth over the long term

SAP reverse DCF analysis

Year to December (EURm)	2018	2019	2020E	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2036E
EBITA	6,334	6,393	7,204	5,435	5,420	6,512	8,153	10,418	11,116	11,925	13,142	14,361	15,665	16,260	16,878	17,519	18,185	18,876	19,593
Tax	(1,708)	(2,338)	(1,194)	(2,063)	(1,675)	(2,242)	(2,277)	(2,198)	(3,557)	(3,816)	(4,205)	(4,596)	(5,013)	(5,203)	(5,401)	(5,606)	(5,819)	(6,040)	(6,270)
After tax EBIT	4,626	4,055	6,010	3,372	3,745	4,271	5,876	8,220	7,559	8,109	8,936	9,766	10,652	11,057	11,477	11,913	12,366	12,836	13,323
Depreciation	786	1,182	1,255	1,152	1,286	1,028	925	900	921	944	967	991	1,015	1,040	1,065	1,091	1,118	1,145	1,173
Chg. In working capital	(776)	(736)	594	256	(314)	57	593	(888)	(922)	(957)	(993)	(1,031)	(1,070)	(1,111)	(1,153)	(1,197)	(1,242)	(1,289)	(1,338)
Capex	(1,458)	(817)	(818)	(825)	(874)	(785)	(797)	(739)	(754)	(769)	(784)	(800)	(816)	(833)	(849)	(866)	(884)	(902)	(920)
Restructuring charges & other charges	(19)	(1,128)	3	(156)	(139)	(369)	(3,144)	(177)	(177)	(177)	(177)	(177)	(177)	(177)	(177)	(177)	(177)	(177)	(177)
SBC (cash based)	(829)	(1,257)	(1,310)	(1,120)	(1,183)	(1,091)	(1,282)	(816)	(816)	(816)	(816)	(816)	(816)	(816)	(816)	(816)	(816)	(816)	(816)
IFRS 16 related adjustments	(404)	(378)	(374)	(424)	(325)	(310)	(299)	(299)	(299)	(299)	(299)	(299)	(299)	(299)	(299)	(299)	(299)	(299)	(299)
Free Cash Flow (pre interest charges)	2,331	1,300	5,331	2,305	2,097	2,785	1,861	6,201	5,513	6,035	6,834	7,633	8,489	8,861	9,248	9,649	10,066	10,498	10,947
Discount Calculator									0.50	1.50	2.50	3.50	4.50	5.50	6.50	7.50	8.50	9.50	
Discount Factor									98%	89%	82%	76%	70%	65%	60%	55%	51%	47%	
Discounted Cash Flow									5,800	6,066	6,257	6,427	6,196	5,972	5,755	5,545	5,341	5,144	

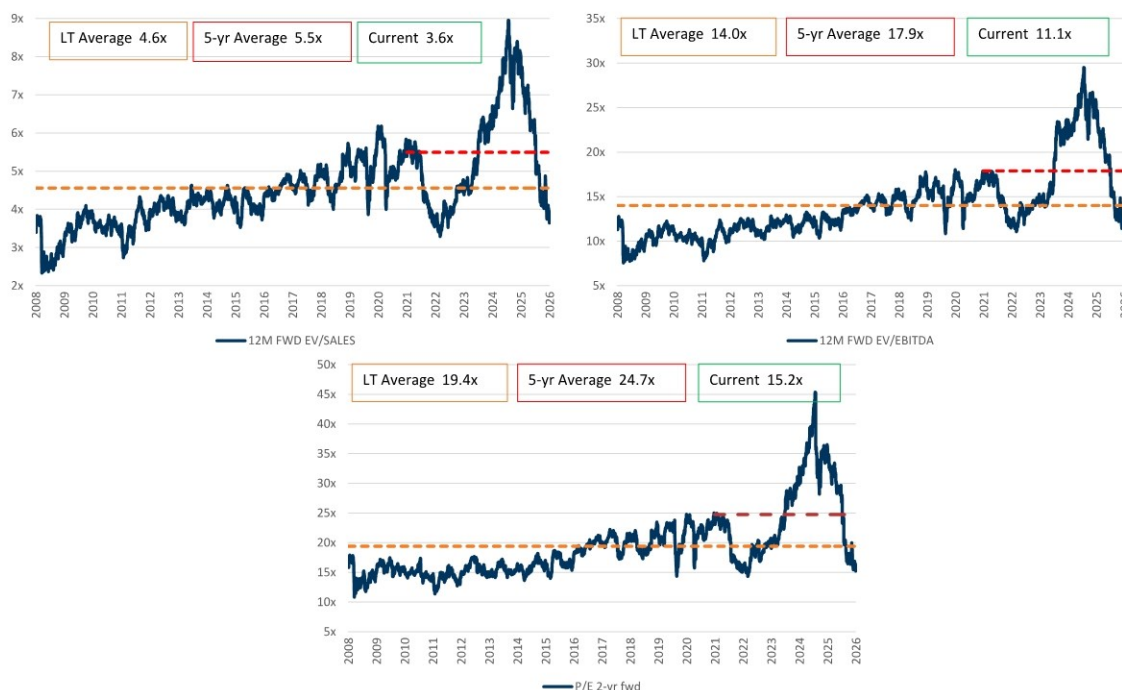
Control Panel:		Valuation:		Current Price - Valuation:	
Current Price	€ 138.0	Sum of DCFs	58,504	Price	€ 138.0
Current Year	2027	Terminal Value	207,551	Market Cap	159,467
Perpetuity Growth	3.0%	Discounted TV	97,530	Ent. Value	155,265
Risk free rate (%)	2.7%			25 FCF Yield	3.9%
Spread over RF (%)	0.5%	Firm Value/EV	156,034	26 FCF Yield	3.5%
Tax Rate (%)	26.0%	Cash	4,202	25 P/E (incl. ESO)	19.9
Risk Premium (%)	5.5%	Equity Value	160,236	26 P/E (incl. ESO)	16.3
Beta (X)	1.1				
Terminal Multiple	19.0	Shares outst.	1,155.6	At DCF Price - Valuation:	
Market Cap.	159,467 % mix	DCF value (EUR)	€ 138.7	Price	€ 138.7
(Net Debt)/Cash	4,202 95%	Upside/Downside	0%	Market Cap	160,236
Enterprise Value	155,265 5%			Ent. Value	156,034
		Value Mix		25 FCF Yield	3.9%
Cost of Equity	8.6%	Sum of DCFs	37%	26 FCF Yield	3.4%
Cost of Debt	2.4%	Terminal Value	61%	25 P/E (incl. ESO)	20.0
WACC	8.3%	Cash	3%	26 P/E (incl. ESO)	16.4

DCF Assumptions	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2036E
Sales	24,741	27,833	27,342	27,844	30,870	31,207	34,176	36,800	38,198	39,650	41,157	42,721	44,344	46,029	47,778	49,594	51,478	53,434	55,465
YoY Growth	11.7%	-1.1%	1.8%	10.9%	1.1%	9.5%	7.7%	3.8%	3.8%	3.8%	3.8%	3.8%	3.8%	3.8%	3.8%	3.8%	3.8%	3.8%	3.8%
EBITA ex-SBC margins	6,334	6,393	7,204	5,435	5,420	6,512	8,153	10,418	11,116	11,925	13,142	14,361	15,665	16,260	16,878	17,519	18,185	18,876	19,593
Margin	25.6%	23.1%	26.3%	19.5%	17.6%	20.9%	23.9%	28.3%	29.1%	30.1%	31.9%	33.6%	35.3%	35.3%	35.3%	35.3%	35.3%	35.3%	35.3%
D as % of sales	3%	4%	5%	4%	4%	3%	3%	2%	2%	2%	2%	2%	2%	2%	2%	2%	2%	2%	2%
Change in working Capital as % of sales	-3%	-3%	2%	1%	-1%	0%	2%	-2%	-2%	-2%	-2%	-2%	-2%	-2%	-2%	-2%	-2%	-2%	-2%
Capex as % of sales	6%	3%	3%	3%	3%	3%	2%	2%	2%	2%	2%	2%	2%	2%	2%	2%	2%	2%	2%
Tax rate	27%	37%	17%	38%	31%	34%	28%	21%	32%	32%	32%	32%	32%	32%	32%	32%	32%	32%	32%

Source: Goldman Sachs Global Investment Research

Exhibit 11: SAP valuation metrics

EV/sales 12m fwd; EV/EBITDA 12m fwd; P/E 2-yr fwd



Source: Datastream

Price target risks and methodology

We are Buy rated. Our 12m PT of €215 and our ADR PT of US\$245 are based on c.22x 3Q27-2Q28E P/E (including SBC).

Key risks to our view and price target are as follows: (1) macro risks given broad-based exposure across geographies; (2) cloud and subscription risks, such as customer churn during the transition phase, would pose downside risks to our estimates; (3) difficulty in gaining traction in S/4 HANA/cloud and not being able to draw benefits from cross-selling synergies in its installed base could cause headwinds to overall cloud growth and margins; (4) increase in opex spending would result in stronger headwinds to margins, and (5) further management changes.

Disclosure Appendix

Reg AC

We, Mohammed Moawalla, Deepshikha Agarwal, Uzair Merchant and Ahlam Haouach, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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Financial Returns and Multiple use the Goldman Sachs analyst forecasts at the fiscal year-end at least three quarters in the future. Growth uses inputs for the fiscal year at least seven quarters in the future compared with the year at least three quarters in the future (on a per-share basis for all metrics).

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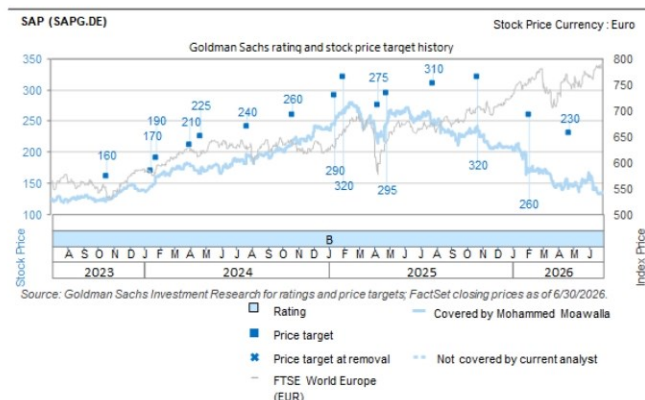
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	Rating Distribution				Investment Banking Relationships		
	Buy	Hold	Sell		Buy	Hold	Sell
Global	50%	34%	16%		65%	59%	43%

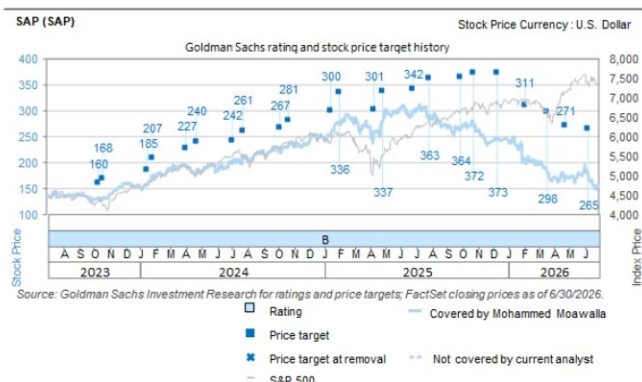
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Target price history table(s)

SAP (SAP)

Date of report	Target price (\$)	Closing price (\$)
10-Jun-26	265.00	170.30
24-Apr-26	271.00	175.26
20-Mar-26	298.00	175.80
03-Feb-26	311.00	197.29
12-Dec-25	373.00	244.83
24-Oct-25	372.00	269.55
29-Sep-25	364.00	263.82
28-Jul-25	363.00	282.38
26-Jun-25	342.00	295.55
28-Apr-25	337.00	285.35
10-Apr-25	301.00	258.49
30-Jan-25	336.00	279.36
13-Jan-25	300.00	249.53
23-Oct-24	281.00	234.59
04-Oct-24	267.00	220.88
24-Jul-24	261.00	209.40
03-Jul-24	242.00	203.02
23-Apr-24	240.00	188.01
02-Apr-24	227.00	192.12
25-Jan-24	207.00	173.44
16-Jan-24	185.00	156.82
19-Oct-23	168.00	133.38
10-Oct-23	160.00	131.20

SAP (SAPG.DE)

Date of report	Target price (€)	Closing price (€)
24-Apr-26	230.00	147.28
03-Feb-26	260.00	167.00
24-Oct-25	320.00	233.35
28-Jul-25	310.00	244.05
28-Apr-25	295.00	248.80
10-Apr-25	275.00	230.00
30-Jan-25	320.00	268.05
13-Jan-25	290.00	243.90
23-Oct-24	260.00	218.65
24-Jul-24	240.00	193.82
23-Apr-24	225.00	174.86
02-Apr-24	210.00	177.06
25-Jan-24	190.00	160.76
16-Jan-24	170.00	144.58
19-Oct-23	160.00	127.28

Price targets shown in table(s) are unadjusted for corporate actions.

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